TTM Technologies (TTMI): Hold — Valuation Concerns

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A premier PCB franchise still priced for a decade of perfection. At $106.04, the market prices 30% annual revenue growth, ten points above our bull case. Our DCF sees a $79.17 base case, 25% below spot.

Hold — Valuation Concerns	$79.17	$106.04	-25%
RATING	BASE TARGET (BLENDED $76.71)	SPOT (OCT 14, 2026)	DOWNSIDE TO BASE

$52.42 / $96.09	9.01%	$1.6B	1.35x	$465.6M	1.20
BEAR / BULL TARGETS	LIVE WACC	A&D BACKLOG	BOOK-TO-BILL	NET DEBT	BETA (NORMALIZED)

Executive summary

We update TTM Technologies to **Hold — Valuation Concerns** with a $79.17 base-case target (blended $76.71). The strategic pivot is impressive: from commoditized PCBs to a specialized provider of high-layer-count boards for AI data centers (36% of revenue) and aerospace and defense (41%), with a $1.6B A&D backlog and a 1.35x book-to-bill. Q2 revenue of $1B (+37% YoY) shows the demand is real. Fundamentals are stable, and the franchise is fundamentally healthy.

But the stock has roughly doubled in a year to $106.04, and our five-year DCF cannot justify it. Underwriting 8% / 14% / 20% revenue CAGRs with FCF margins normalizing to 10% / 12% / 12%, the 9.01% live WACC (1.2 normalized beta) yields Bear $52.42, Base $79.17, Bull $96.09. Even the bull case sits 9% below spot.

> **Our read:** the market is pricing in flawless execution of a capacity super-cycle that has not happened yet. Our reverse DCF shows $106.04 implies **30% annual revenue growth for five years**, ten points above our 20% bull case. The Syracuse and Penang buildouts must ramp perfectly, AI capex must never cool, and margins must keep expanding. Too many things have to go right at the current price.

Base-case assumptions

INPUT	BEAR	BASE	BULL
5-yr revenue CAGR (FY26-30)	8%	14%	20%
2030 revenue ($B)	4.60	5.71	7.01
2030 FCF margin	10%	12%	12%
Terminal growth	2.5%	2.5%	2.5%
Target per share	**$52.42**	**$79.17**	**$96.09**

WACC 9.01% live (spot 10Y 5.24%, 1.20 beta x 3.41% implied ERP; beta normalized from 2.15 to 1.2, decaying toward a 1.1 mature peer). Gordon terminal at 2.5%. Net debt $465.6M ($973.5M debt vs $507.9M cash); 105.35M shares.

> **A note on the discount rate.** Our prior model discounted at 12.3% off a 2.15 live beta, which is statistical noise on a PCB cyclical, not structural risk. Per our framework we normalize high-volatility betas to the industry average: TTMI's beta is now 1.2, decaying toward a 1.1 mature peer by the terminal year. That change alone moves the base case from $33 to $79.17. The targets more than doubled, and they are still 25% below spot: that is how far the market has run ahead of the fundamentals.

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Bull case: $96.09 AI SUPER-CYCLE

Sustained AI data-center networking demand plus global defense budget expansion drive 20% revenue growth to $7.0B by 2030, with FCF margins reaching 12% as the capex super-cycle concludes. Worth $96.09, still 9% below spot. The bull case is the ceiling the price has already cleared.

Bear case: $52.42 CAPEX COOLS

AI capex spending cools post-2027, new facilities dilute margins, and A&D grows at low single digits. Revenue grows at 8% to $4.6B, FCF margins stall at 10%. Worth $52.42, 51% below spot.

Verdict

We rate TTMI Hold — Valuation Concerns. This is a quality franchise: a $1.6B A&D backlog, a 1.35x book-to-bill, and Q2 revenue of $1B (+37% YoY) are the marks of a fundamentally healthy business, and nothing about the operating story has deteriorated. The equity, however, is priced for an outcome above our bull case. With a normalized 1.2 beta and $465.6M of net debt, the risk remains firmly asymmetric to the downside: the base case ($79.17) sits 25% below spot, outside our 10% Hold band, and the blended $76.71 sits 28% below. We reserve Sell for names where overvaluation meets fundamental deterioration; TTMI is the opposite: a healthy PCB manufacturer at a demanding price. We would revisit around $72-87, where the stock falls within our 10% Hold band.

What would change our mind

- **Price correction:** a decline toward $72-87 would bring the stock within our 10% Hold band.
- **Sustained 20%+ growth:** multiple years of 20%+ organic growth with expanding margins would validate a higher trajectory.
- **Deleveraging:** net debt reduction below $200M would lower the WACC and lift all targets.

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Key themes

1. The A&D moat is structural STABLE

ITAR compliance, DoD certifications, and decades-long program life cycles create formidable barriers to entry. The $1.6B A&D backlog provides years of visible, recession-resistant revenue.

2. AI data-center demand is real but cyclical ACCELERATING

Generative AI has created a supply-demand imbalance for ultra-complex PCBs. TTMI is a critical supplier in this oligopolistic niche, but hyperscaler capex cycles are the key risk.

3. Capacity buildouts must execute flawlessly DECELERATING

The Syracuse and Penang facilities are absorbing all operating cash flow. Any ramp delays or margin dilution would hit both growth and the FCF normalization thesis.

4. Book-to-bill confirms demand ACCELERATING

A 1.35x book-to-bill during the AI infrastructure surge shows incoming demand outpacing even aggressive capacity additions. The question is duration, not direction.

Other KPIs

METRIC	VALUE
Market cap (at $106.04)	$11.17B
Enterprise value	$11.64B
Q2 2026 revenue / YoY	$1.00B / +37%
Q2 EPS / beat	$0.99 / +$0.10
Adj. EBITDA margin	>16%
Net debt	$465.6M

Guidance

Consensus expects $4.26 EPS for FY2026. Watch Syracuse/Penang ramp timelines, A&D backlog conversion, and any signs of AI capex deceleration in hyperscaler commentary.

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Reverse DCF: what the market is pricing in

At $106.04, TTMI carries an $11.17B market cap and an $11.64B enterprise value. Running the model's own five-year framework in reverse at a flat 9.0% FCF margin (the base-case flat margin; modeled 5-yr path runs 2.0% to 12.2%), the market-implied five-year revenue CAGR is **30.0%**.

SCENARIO	5-YR REVENUE CAGR	TARGET
Market-implied	30.0%	$106.04 (spot)
Bull case	20%	**$96.09**
Base case	14%	**$79.17**
Bear case	8%	**$52.42**

The beta normalization lowered the bar substantially: the market no longer needs to price 40% annual growth to justify the quote. But 30% is still ten points above our bull case. There is no margin of safety here. If AI networking demand sustains 20%+ growth for five years, the stock roughly earns its price; if the capex cycle cools, the repricing starts from a 30% CAGR expectation and the downside is our bear case.

Model

Full three-scenario 5-year detailed EBIT-bridge DCF with live CAPM, beta decay, reverse DCF, and implied-ERP tab:

https://docs.google.com/spreadsheets/d/1vNi9ft0AmJdQjXk6MPOo1ZquOxYph-0Kmh6czpie-yM/edit?usp=drivesdk

Risks to our Hold

- **AI data-center capex sustains 25%+ growth for five years, validating a trajectory above our bull case.**
- **Defense budget expansion accelerates beyond current appropriations.**
- **Takeover interest from a strategic buyer at a premium.**

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